



BI Rate, Inflation, and Exchange Rate Analysis in Indonesia (2017–2026)

Exploring Monetary Policy Trends Through Interactive Data
Visualization

Data Analyst Portfolio Project · Tableau Dashboard Analysis

Project Overview

Bank Indonesia deploys the **BI Rate** as its primary monetary-policy instrument to anchor inflation and safeguard macroeconomic stability. This project examines nearly a decade of cross-variable dynamics to uncover how policy levers interact with real-world economic outcomes.

Research Objective

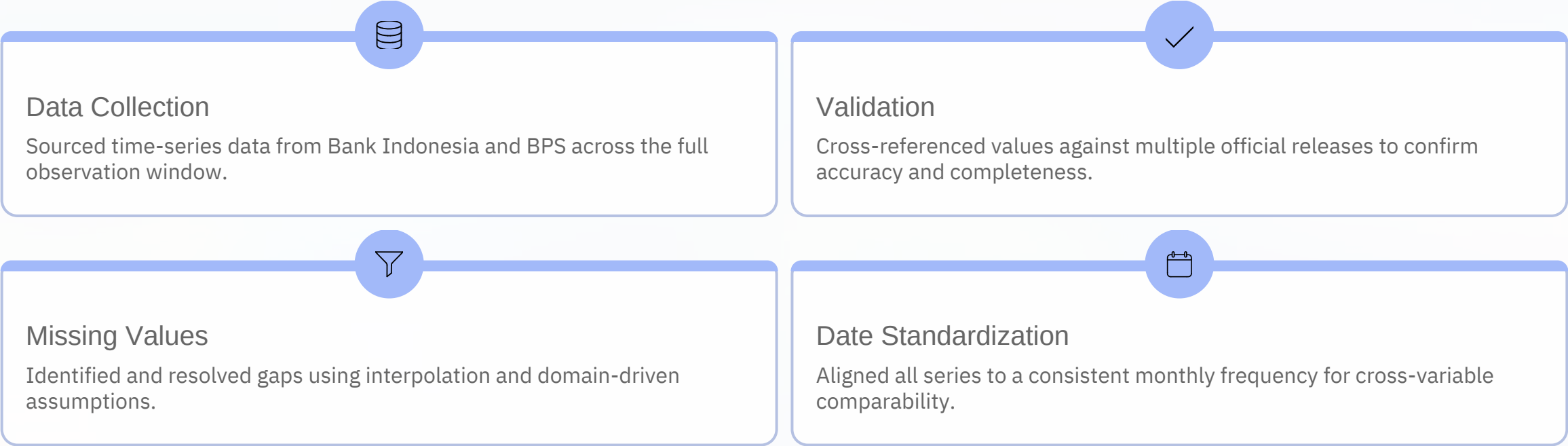
Analyze historical trends across three interconnected indicators — the BI Rate, inflation rate, and USD/IDR exchange rate — to identify patterns, correlations, and causal relationships.

Scope & Data Sources

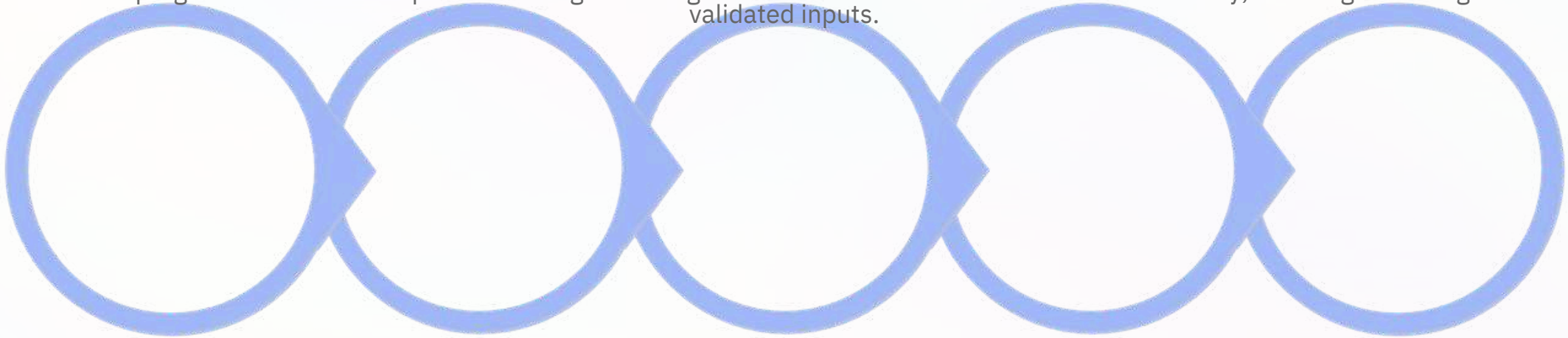
- **Period:** 2017–2026 (historical & projected)
- **Bank Indonesia:** Official BI Rate decisions and monetary-policy statements
- **Statistics Indonesia (BPS):** Inflation data and macroeconomic indicators

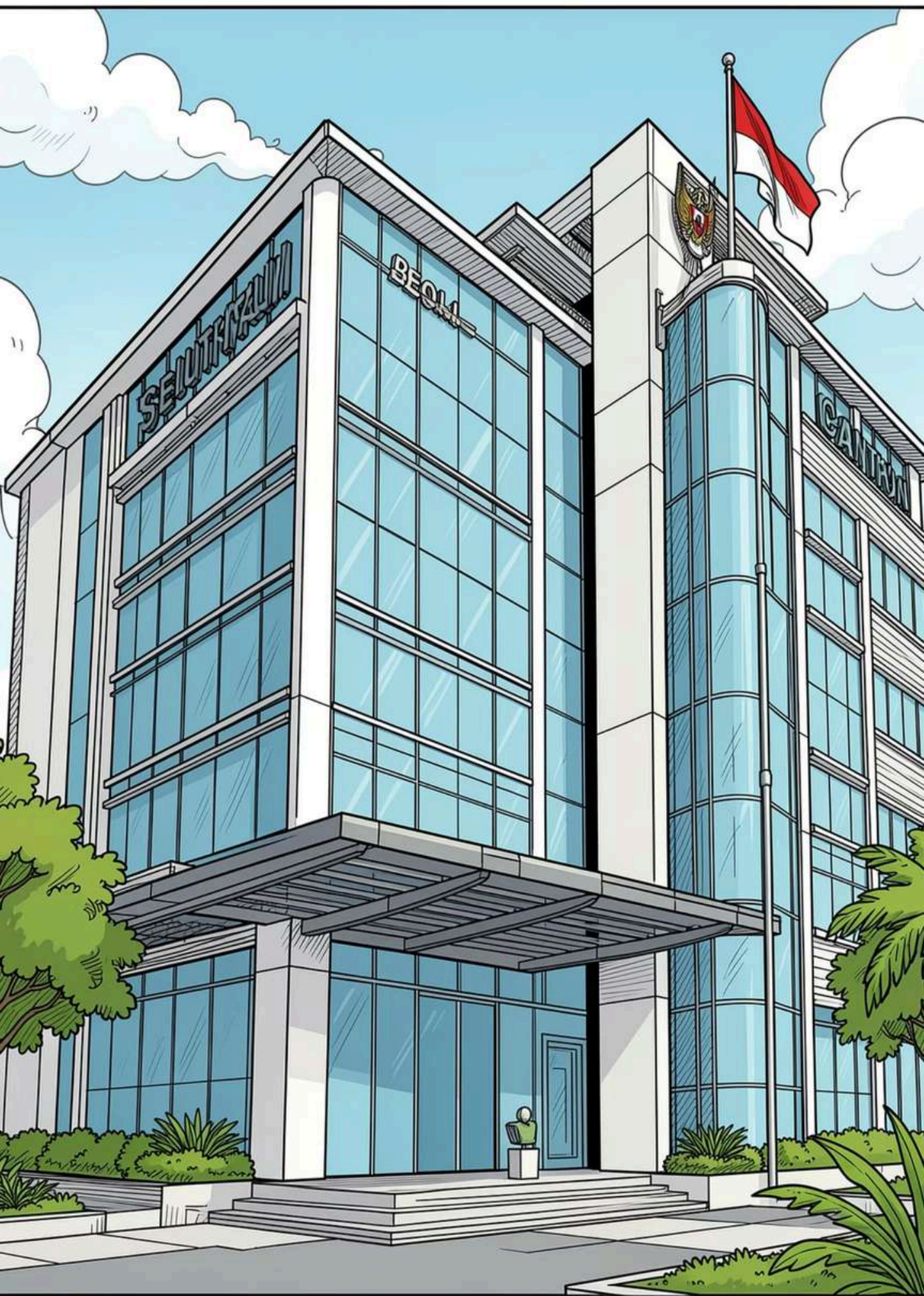
Data & Methodology

A structured four-stage data-preparation pipeline ensured analytical rigor before the exploratory and visualization phases began.



The workflow progresses from raw acquisition through cleaning and EDA to final interactive dashboard delivery, ensuring each stage builds on validated inputs.





BI Rate Trend Analysis

Key Question

How has Bank Indonesia adjusted interest rates over the 2017–2026 period?

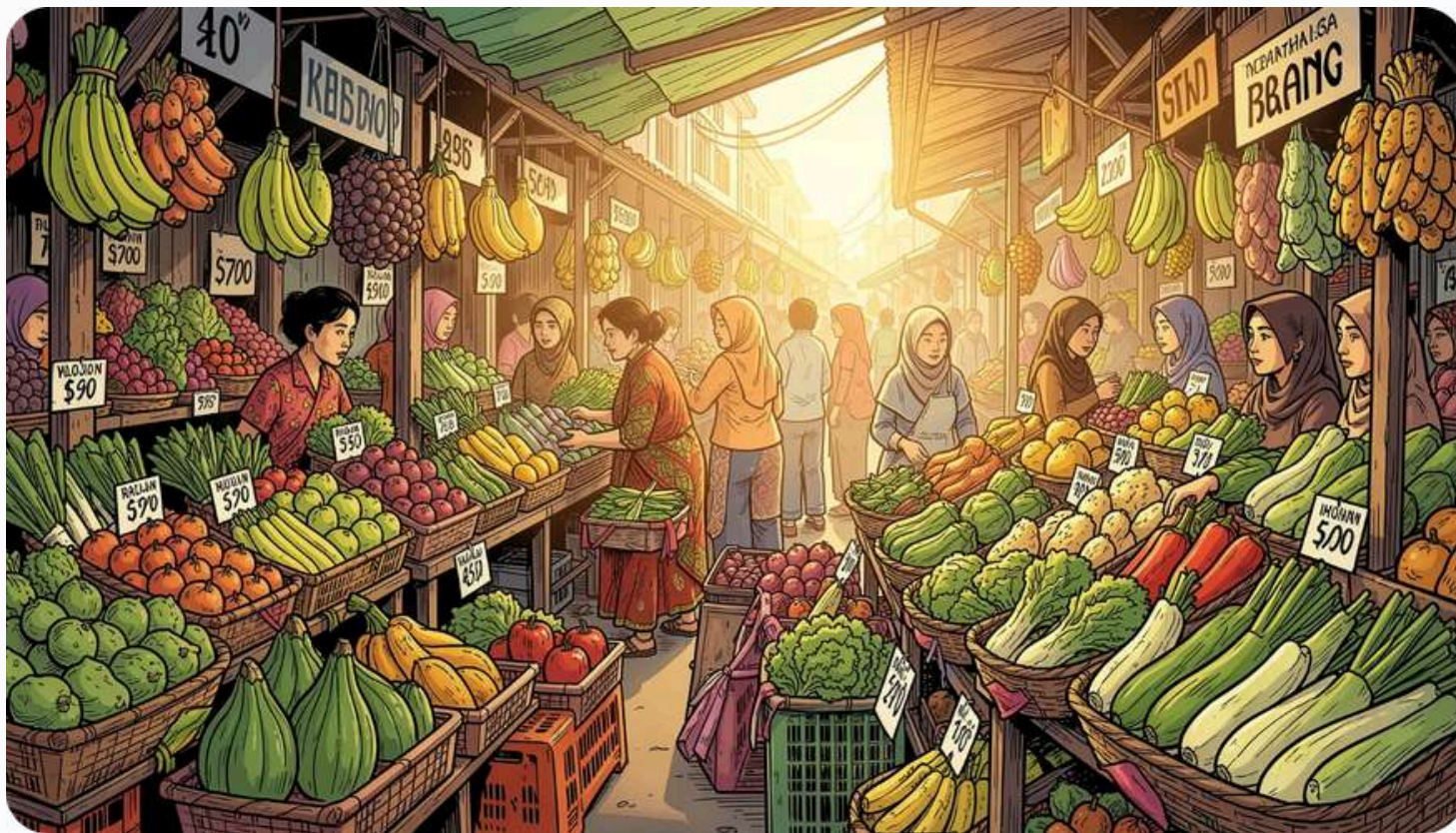
Key Insights

- Several calibrated policy adjustments reflect Bank Indonesia's response to evolving economic conditions throughout the period.
- Higher rates were implemented during inflationary episodes to contain price pressures and defend currency stability.
- Lower rates were deployed as counter-cyclical tools to stimulate economic activity during slowdowns.

Rate decisions tracked closely with global commodity cycles, Federal Reserve policy shifts, and domestic growth readings.



Each BI Rate adjustment signals Bank Indonesia's assessment of the inflation–growth trade-off in real time.



Inflation Trend Analysis

Key Question

How has inflation evolved during the observation period?

- Inflation remained relatively stable during several periods, anchored within Bank Indonesia's target band.
- External economic shocks — including commodity price swings and pandemic-era disruptions — created temporary but notable fluctuations.
- Inflation management remains a core monetary-policy objective, with the BI Rate serving as the primary lever.

Exchange Rate Trend Analysis

Key Question

How did the Rupiah perform against the US Dollar?

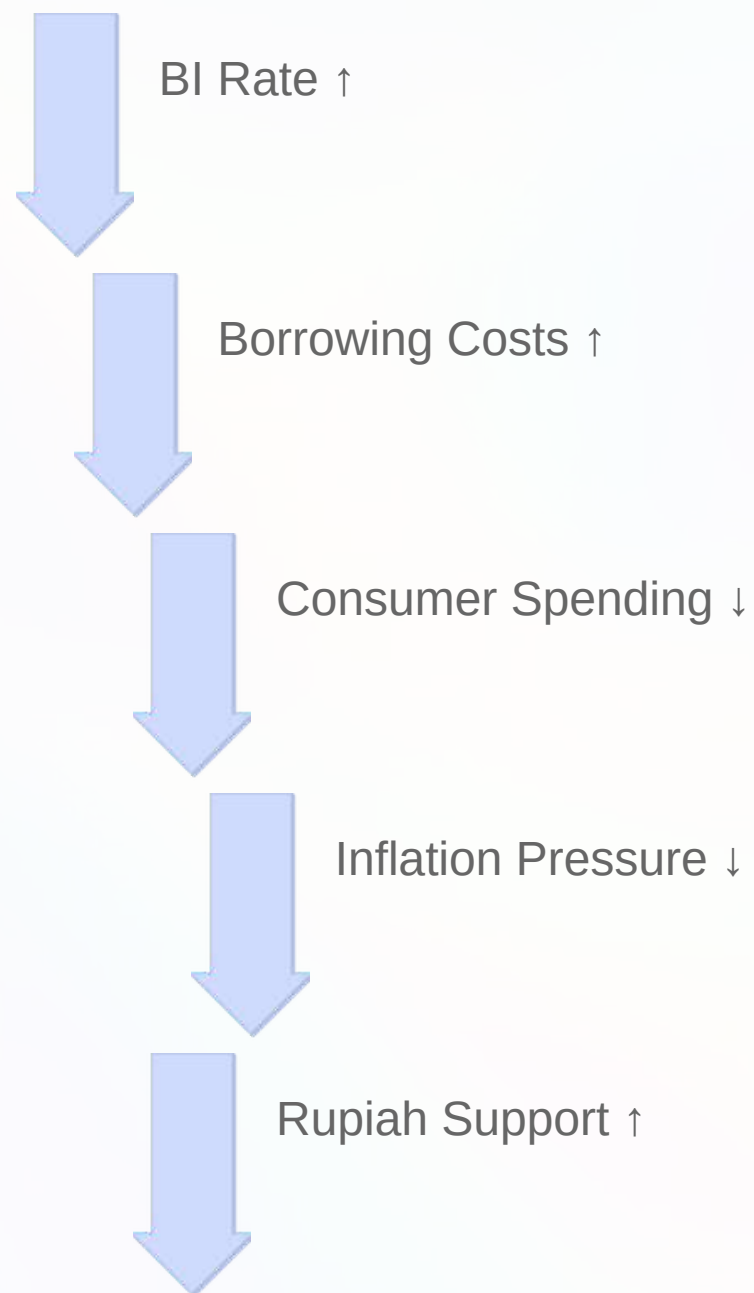
- The Rupiah experienced both appreciation and depreciation cycles, reflecting shifting capital flows and risk sentiment.
- Movements were driven by a blend of domestic factors — rate differentials, trade balances — and global headwinds such as dollar strength.
- Currency stability remains critical for import costs, inflation pass-through, and overall macroeconomic performance.



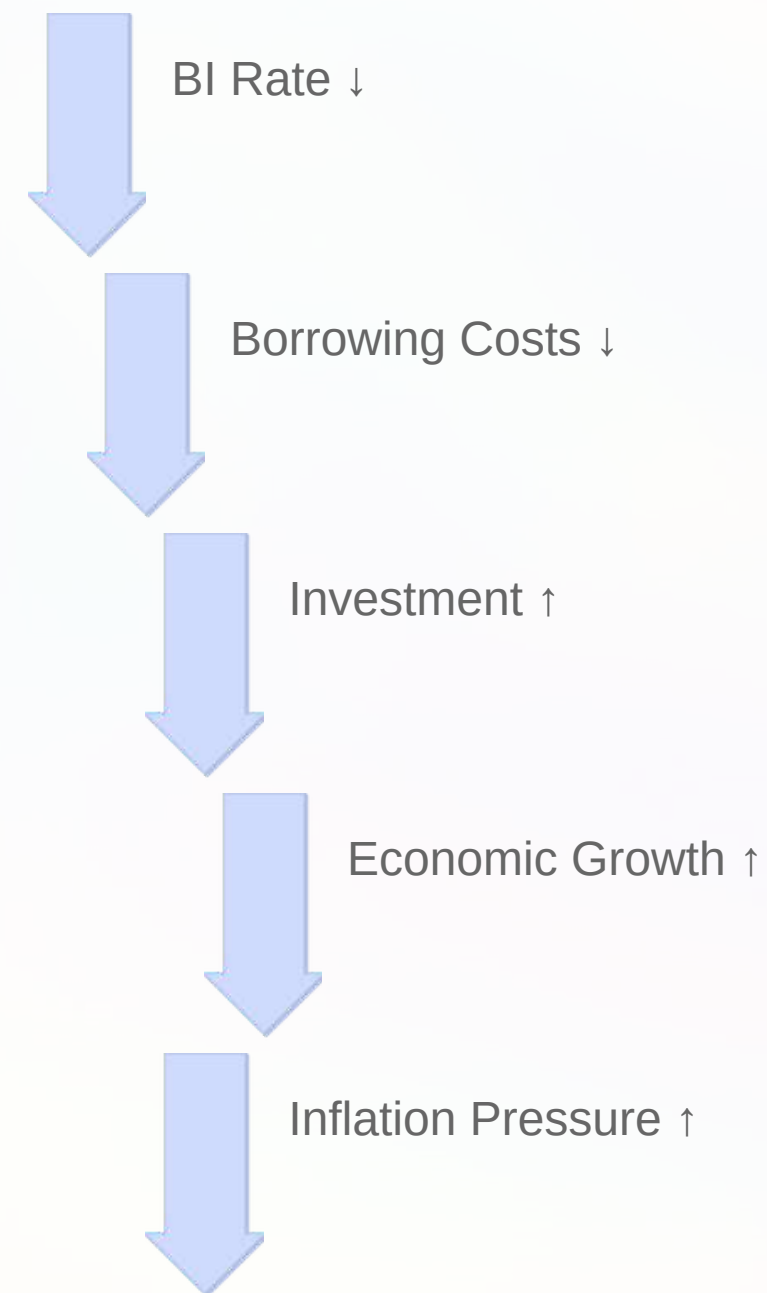
Monetary Policy Transmission

The BI Rate influences the broader economy through a well-documented transmission mechanism. Adjustments ripple through borrowing costs, consumer behavior, inflation dynamics, and ultimately currency valuation.

When BI Rate Increases



When BI Rate Decreases



Dashboard Insights & Key Takeaways

The Tableau dashboard synthesized disparate data streams into a cohesive visual narrative, enabling cross-variable pattern recognition.

Primary Instrument

The BI Rate is Bank Indonesia's principal lever for steering monetary conditions and managing expectations.

Inflation Anchor

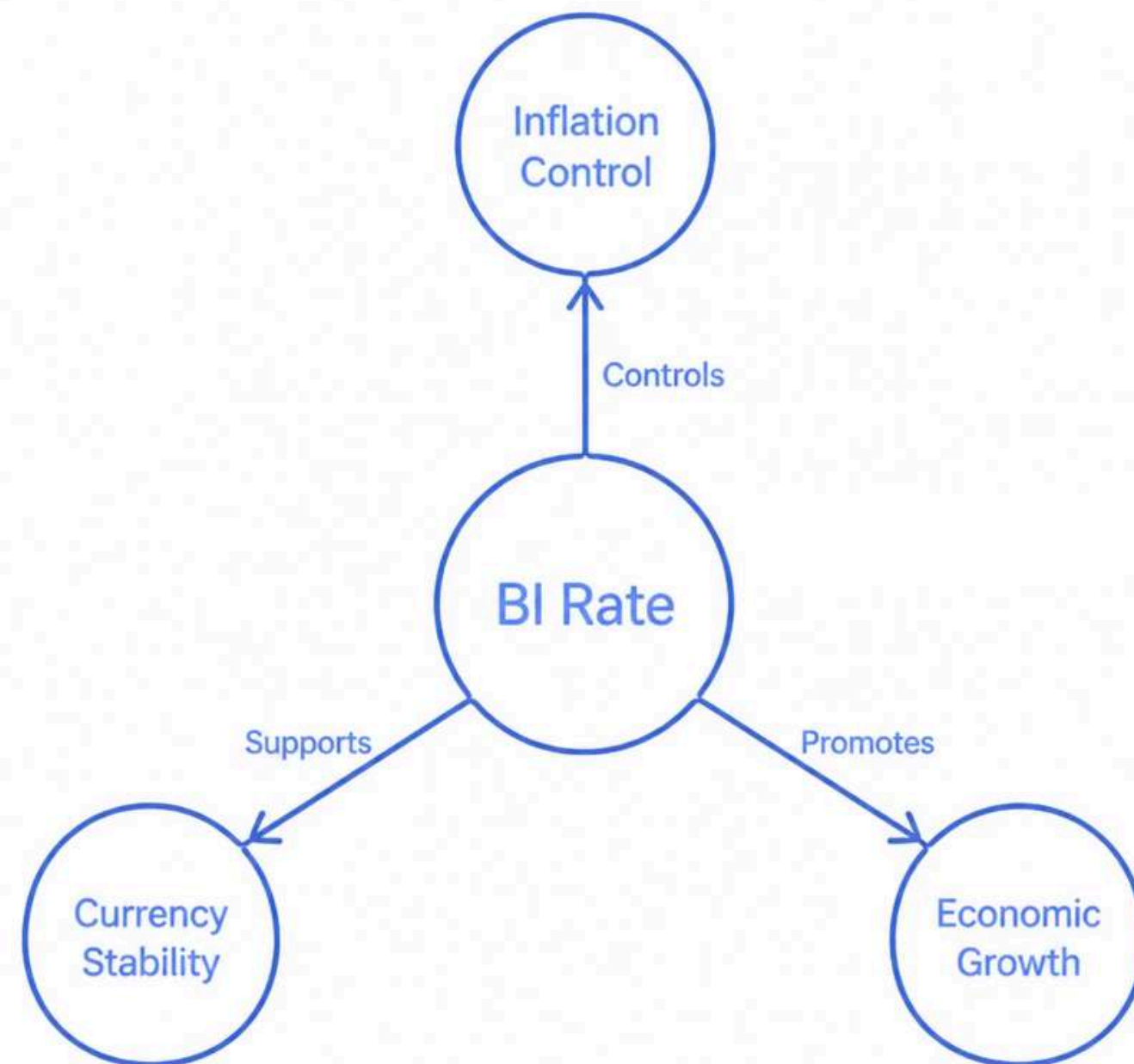
Higher interest rates generally support inflation control and reinforce currency stability.

Dual Drivers

Exchange-rate movements reflect both domestic monetary stance and external macroeconomic forces.

Policy Balance

Effective monetary policy balances inflation, exchange-rate stability, and economic growth simultaneously.



Conclusion

- The BI Rate plays a central role in Indonesia's monetary-policy framework, anchoring market expectations and guiding economic outcomes.
- Inflation and exchange-rate movements exhibit observable relationships with interest-rate adjustments, though transmission operates with a lag.
- Exchange-rate performance is shaped by multiple factors — trade balances, global risk sentiment, and capital flows — beyond domestic monetary policy.
- Interactive dashboards transform complex macroeconomic data into accessible, actionable insights for analysts and stakeholders.

Thank You

Questions & Discussion

**BI Rate, Inflation & Exchange Rate Analysis • Indonesia
2017–2026**

